

User Insight Synthesis: Prism Construction Payroll

1. Executive Summary

Context: The construction industry is undergoing a digital transformation, yet Small and Medium-Sized Businesses (SMBs) remain underserved by current payroll solutions. They are caught between generic platforms (QuickBooks, Gusto) that lack construction logic (job costing, certified payroll) and legacy ERPs (Vista, Foundation) that are too complex and expensive.

Strategic Insight: Prism Construction Payroll aims to bridge this gap by offering "Complexity Abstraction"—managing the labyrinthine regulatory requirements (unions, multi-state taxes, prevailing wage) in the background while presenting a simplified, consumer-grade interface to the user. The primary user tension identified is the balance between **simplicity** (required for adoption by non-accountants) and **robust compliance** (required to avoid existential legal risks).

Overall Confidence: High. Insights are triangulated across market requirements, quantitative external research (31 interviews), and deep qualitative interviews with 12 subject matter experts and product leaders.

2. Data Coverage Overview

Evidence Volume & Source Mix

- **Market Requirements Document (MRD):** Comprehensive analysis of market dynamics, personas, and functional requirements .
- **External SMB Research:** Insights from 31 interviews and surveys with general and specialty contractors across revenue bands (\$500k - \$30M).
- **Internal Stakeholder Interviews:** 12 in-depth transcripts with Product Managers, Sales Engineers, and former industry practitioners (Vista, Spectrum, Apps teams).
- **Core Functionality Documentation:** Detailed breakdown of payroll mechanics and

workflows .

Roles Represented

- **Primary Personas:** Owners/Operators (Cash flow focused), Office Managers/Bookkeepers (Compliance focused), Field Supervisors (Efficiency focused).
- **Internal Experts:** Former Controllers, Payroll Managers, and Implementation Consultants with decades of experience.

Known Gaps

- **Direct User Testing:** Current insights are heavily weighted towards expert proxy and market analysis rather than direct usability testing of Prism prototypes with the specific target demographic (1-10 employees).
- **Non-Union SMB Specifics:** Deep detail on the specific pain points of *non-union* SMBs regarding certified payroll is less represented than union complexities.

3. Core User Insights

Insight 1: The "Compliance Trap" and Risk Aversion

Insight Statement: SMB owners view payroll not as an administrative task but as a high-stakes risk management function; they are terrified of the IRS and regulatory bodies.

- **Affected Roles:** Owner/Operator, Office Manager.
- **Evidence Basis:**
 - Owners live in "constant fear" of miscalculating tax deposits or misclassifying workers, knowing penalties can bankrupt them.
 - Many SMBs outsource to ADP not for efficiency, but for liability protection—"I am ADP. I will save your world... We'll make your deposits".
 - Missing a quarterly tax deposit is a critical failure point that drives outsourcing.
- **Underlying Goal: Safety and indemnification.** They want a "safety net" more than they want features.

Insight 2: The "Hodgepodge" Tech Stack Creates Data Silos

Insight Statement: SMBs suffer from fragmented workflows where time collection, payroll

processing, and accounting live in disconnected systems, leading to manual double-entry and errors.

- **Affected Roles:** Office Manager, Bookkeeper.
- **Evidence Basis:**
 - A typical stack includes QuickBooks for accounting, TSheets for time, and ADP for payroll, requiring manual transcription.
 - Data silos create a "chain of custody" risk where an error in time collection corrupts gross pay, taxes, and job costing.
 - Users expressed that current tools "don't speak to each other".
- **Underlying Goal: Single Source of Truth.** Users want "one envelope" to manage their business.

Insight 3: Job Costing is the Strategic Differentiator

Insight Statement: For construction SMBs, payroll is a mechanism for project intelligence; a system without deep job costing is useless, regardless of its simplicity.

- **Affected Roles:** Project Manager, Owner.
- **Evidence Basis:**
 - Labor is often 60% of total project costs; accurate allocation is paramount.
 - "If you really want to smash the competition... tie job cost and payroll together... from day one".
 - Generalist platforms (QuickBooks, Gusto) fail here because they struggle with "fully burdened" labor costing and "weighted average overtime".
- **Underlying Goal: Profitability Visibility.** Knowing exactly which job is making or losing money in real-time.

Insight 4: The "Field-to-Office" Disconnect

Insight Statement: There is a friction point between the "Muddy Boots" field staff who prioritize speed and the back-office staff who prioritize granular data for compliance.

- **Affected Roles:** Field Supervisor, Payroll Clerk.
- **Evidence Basis:**
 - Field workers are "mathematicians when it comes to their paycheck, but they barely can get their time cards in".

- They need interfaces that are "five times simpler" than what programmers imagine—"dead simple" because they are working long hours in harsh conditions.
- The "Friday Crunch" is a major stressor caused by delayed field data.
- **Underlying Goal: Zero-Friction Data Entry.** Mobile interfaces must require minimal clicks and cognitive load.

Insight 5: The "Scale-Up" Cliff

Insight Statement: SMBs may start simple (single state, non-union), but growth triggers exponential complexity (multi-state, union, certified payroll) that generic software cannot handle, forcing a painful migration.

- **Affected Roles:** Growing Contractor (10-50 employees).
- **Evidence Basis:**
 - Moving from 10 to 50 employees often introduces "Certified Payroll" requirements for government work, which standard providers (ADP, Gusto) cannot natively generate.
 - "Certified payroll is primarily required for government work... and involves complex calculations based on stated fringe and pay rates".
 - Small contractors working across state lines (e.g., Portland/Vancouver) immediately face multi-state tax complexities usually reserved for enterprise firms.
- **Underlying Goal: Scalability without Migration.** A system that grows with them rather than forcing a platform switch.

4. Cross-Cutting Themes

Theme 1: Integration vs. Native Functionality

There is a tension between building a native payroll engine vs. integrating with established providers (ADP, Check, Atrix).

- **Build:** Essential for "Construction Logic" (Job Costing, Prevailing Wage).
- **Buy/Partner:** Recommended for "Commodity Logic" (Tax tables, filings, money movement) to reduce maintenance burden and risk.
- **Evidence:** Stakeholders warn that building a payroll tax engine from scratch is "hard," "big," and "scares me to death".

Theme 2: The Pay Stub as a Trust Artifact

The pay stub is not just a receipt; it is a transparency tool.

- Construction pay stubs are complex, showing multiple rates, jobs, and deductions. Transparency here builds trust with the workforce and prevents disputes.
- **Evidence:** "Transparency and Trust: A clear, itemized pay stub... is the primary mechanism for an employee to verify they were paid correctly".

Theme 3: Automation of "Nuisance" Work

Users want to automate the tedious, high-risk tasks.

- **Correction Workflows:** Payroll corrections are a major pain point. Users want guided workflows to fix mistakes without breaking GL integrity.
- **Regulatory Reporting:** Leveraging AI to scrape public websites for tax updates or certified payroll requirements is seen as a high-value opportunity.

5. Emerging Hypotheses

- **Hypothesis 1:** SMBs will prioritize **risk mitigation (compliance)** over **cost savings** when selecting a payroll provider. *Implication: Marketing and features should emphasize "safety nets" and automated compliance over low price.*
- **Hypothesis 2:** A "Job-Cost First" payroll approach will effectively differentiate Prism from QuickBooks/Gusto in the sales cycle. *Implication: The MVP must have robust job costing integration, even if it lacks advanced HR features.*
- **Hypothesis 3:** An "MVP" that excludes Certified Payroll will fail to capture the growth-oriented segment of the SMB market (10-50 employees). *Implication: Certified Payroll (WH-347) automation is a critical "Phase 2" feature, not a "nice to have."*

6. Idea Exploration Zones

Zone A: "The Safety Net" (Compliance Automation)

- **Concept:** AI-driven "Payroll Health Check" agents that analyze variances (e.g., spike in overtime, negative net pay) and flag them *before* processing.

- **Concept:** Automated generation of Certified Payroll Reports (WH-347) directly from time card data, eliminating Excel workarounds.

Zone B: "Zero-Friction" Field Experience

- **Concept:** Mobile app with "Smart Defaults" based on Geofencing—suggesting the job and cost code based on the worker's location.
- **Concept:** "Foreman Mode" for crew-based time entry, acknowledging that not all workers have smartphones.

Zone C: "Service-First" Architecture

- **Concept:** A "Hybrid" model where Prism handles the construction logic (Job Costing, Union Rules) and a partner (e.g., ADP/Check) handles the gross-to-net tax calculations and money movement.

7. Confidence, Gaps, and Next Steps

Confidence Level: High regarding market needs and technical challenges. Moderate regarding the specific UX preferences of the *micro* segment (1-5 employees).

Critical Data Gaps:

- **User Validation:** Lack of direct feedback from the target "10 employees or less" user group on *specific* UI prototypes.
- **Pricing Sensitivity:** Limited data on price elasticity for this specific bundled offering (Accounting + Payroll) vs. standalone competitors.

Next Research Questions:

1. What is the specific "tipping point" (number of employees or revenue) where an SMB switches from doing payroll in-house (manual/Excel) to paying for a service?
2. How do "micro" contractors currently handle the specific friction of Certified Payroll—do they ignore it, outsource it, or struggle through it manually?
3. What is the tolerance level for a "Bring Your Own Payroll" integration (e.g., Prism + Gusto) vs. a native Prism Payroll solution?

Editor's Note: This synthesis treats internal stakeholder interviews as expert proxy evidence, prioritizing their deep domain experience in interpreting user needs.